Deductions for Medi-Cal Family Budget Units (MFBUs) With an Aged, Blind, or Disabled (ABD) Medically Needy (MN) Person	Number	Page
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Revision Date:
July 1, 2026

Background:
MFBUs that include an ABD MN individual are allowed special income deductions when determining Non-Modified Adjusted Gross Income (MAGI) eligibility.

Purpose:
The purpose of this section is to provide updated guidance on allowable income deductions for certain Non-MAGI MFBUs. This section is being updated to include guidance on the treatment of the Medicare Advantage (MA) flex card and updated student earned income exclusions amounts.

Policy:
Deductions must be verified at initial application, renewal, and during a change in circumstances (CIC).

Procedure:
Deductions are allowed in the order in which they appear in this section. Income deductions will be apportioned over time following the same procedures used for apportioning income. For additional guidance, refer to Medi-Cal Program Guide (MPG) 10.04.03 Apportioned Income.

A. Educational Expenses
Allowable educational expenses must be deducted from educational income or loans. To determine the monthly deduction, allocate the expense over the period that it is intended for. Reimbursed expenses such as Employment Services (ES) Childcare or Training related expenses may not be used as deductions.

Allowable educational expenses must be deducted from educational income including, but not limited to:
- Exempt student loans, grants, or fellowships.
- Nonexempt student loans, grants, or fellowships which do not require repayment.
- Social Security Administration (SSA) and Veteran's Administration (VA) payments to a child attending school which are based on a deceased or disabled parent's entitlement.
- Veteran's Educational Assistance Program (VEAP) payments.

Allowable educational expenses include:
- Tuition.
- Books.
- Fees.
- Equipment and supplies.
- Special clothing needs.
- Childcare services.
- Transportation (including but not limited to car payments, car insurance, registration, and gasoline).

Note: The cost of transportation to and from school is based on the most economic and feasible mode. If it is determined that a personal vehicle meets the criteria, all transportation costs will be prorated based on the percentage of miles driven to and from school and the total miles driven each month.

Allowable expenses will be deducted in the following order:

- Deduct from nonexempt loans or grants as detailed in MPG 10.03.01.
- Deduct any remaining educational expenses from other loans for educational purposes that are considered property as detailed in MPG Article 9.
- Deduct any remaining allowable educational expenses from other income received for educational purposes.

B. Support Payments from an Absent Parent (AP)

Disregards for child support payments made to a disabled child are based on the type of payment received.

Payment Type	Disregard Amount
Current	One-third of the current child support payment is disregarded
Delayed (paid timely but received in a subsequent month)	To apply the disregard for past month's payments, both of the following criteria must be met: • The payments for past months have been received by the MFBU member in the current month. • The past month's payment was made by the AP in the month the payment was due. If the criteria are met, one-third of the child support payment may be disregarded.
Arrearage	There are no disregards allowed on arrearage payments.

C. $20 Any Income Deduction

Deduct $20 from the combined nonexempt unearned income of all ABD MN persons, their spouses, or their parents. Any excess portion of the $20 deduction must be subtracted from the combined nonexempt earned income.

D. Student Earned Income Exclusion (SEIE)

SEIE is applied in any month in which an ABD student receives earned income, and they meet the following criteria:

- Under the age of 22.
- Regularly attending school as defined by SSA:
  - Enrolled in one or more classes at a college or university, for at least 8 hours per semester or quarter, or
  - Enrolled in a training course that prepares them for the workforce for at least 15 hours per week when the course requires practical application of skills. If the course does not require practical skills, the attendance requirement is 12 hours per week.

Staff should exclude no more than the monthly and annual maximums in earned income received by the student. When the maximum has been reached, the deduction is no longer included in the eligibility evaluation.

- If a student earns $1,000 in one month, then a SEIE of $1,000 will be excluded from the gross earned income each month, until the annual maximum is reached.
- If a student earns $2,700 in one month, then the monthly maximum will be excluded from the gross earned income each month, until the annual maximum is reached.
    - Example – A student earning $2,700 will receive a maximum monthly exclusion of $2,410 until the annual maximum exclusion of $9,730 is reached based on the 2026 values.

Refer to MPG 11.1A Assistance Standards for the maximum monthly and annual exclusion limits.

Note: When completing the ABD Federal Poverty Limit (FPL) Program Income Eligibility (MC 176AD), the SEIE is calculated as part of the Aged and Disabled Medically Needy Deductions (line item 18). When determining the Medically Needy share of cost (SOC), the SEIE is calculated as part of the ABD Income Deductions (line item 6) on the Allocation/Special Deduction Worksheet A (MC 176 W).

E. $65 Plus One-Half Earned Income

Deduct $65 plus one-half of the remaining balance from the nonexempt earned income after applying all applicable deductions detailed above.

Note: Apply any excess portion of the above-mentioned $20 deduction to the nonexempt earned income prior to applying the $65 plus one-half deduction.

F. Work Expenses of the Blind

The actual cost of verified work-related expenses is deducted from the nonexempt earned income.

G. Income Necessary to Achieve Self-Support

The income of a blind/disabled customer can be deducted if the plan for self-support is in writing, was initiated and approved while the customer was receiving Supplemental Security Income/State Supplementary Payment (SSI/SSP), and the customer continues to follow the plan of self-support.

H. In-Home Services for an ABD Person

The out-of-pocket cost for in-home personal care services can be used to meet the Medi-Cal SOC when all the following are met:

- The ABD customer is paying for the services.
- The services are provided by a family member living in the home or an In-Home Supportive Services (IHSS) provider working hours beyond those paid for by IHSS.
- The customers' need for in-home services is verified by a physician's statement which specifies that without such services the individual would require institutionalization.
  (If the plan specifies the need for at least one personal care service, an IHSS assessment is not required).

IHSS assessed hours or services do not need to be used first before applying the out-of-pocket expenses. Customers must be informed of their responsibility to verify out-of-pocket expenses monthly

to meet the SOC. Personal care expenses can be applied to the SOC in the month the expense was incurred, or to a future month if the customer is still obligated to pay the expense and it meets the Hunt v. Kizer guidelines*. As a result, when personal care expenses are applied to reduce a current or future month's SOC, they cannot be applied as an income deduction. When a SOC is reduced to zero, staff must change the customers aid code in the month that the SOC was met to a no SOC aid code, effective the first of that same month.

*Under Hunt v. Kizer rules, customers can apply old medical bills toward their current month's SOC provide that the bills were unpaid at the time they were submitted. Customers can also save old or current bills and apply them as old bills toward their current SOC in a future month as long as they remain unpaid. Customers can use card cards or collection agency statements as verification of medical expenses.

I. Income Used To Determine Public Assistance (PA) Eligibility of Another Family Member

The following deduction must be subtracted from any nonexempt income that remains after applying all preceding exemptions and deductions:

- The portion of income of an MN or MI person or person responsible for the MFBU, which is counted in determining the eligibility of a spouse, parent, or child as a PA or other PA customer must be deducted.
- Income of a stepparent and the value of the income in-kind provided by the stepparent which is counted in determining the eligibility of a spouse, parent, or child as a PA or other PA customer must be deducted.

J. Health Insurance Premiums

Health insurance premiums paid by and purchased for any family member must be deducted. If the premium is paid less often than monthly, it must be averaged on a monthly basis. Allowable deductions are limited to the premiums paid for the health insurance fees. Enrollment membership fees that provide comprehensive benefits unrelated to health insurance or include other benefits beyond health care coverage are not allowable deductions.

Deductions must be verified at initial application. If the customer reports the ongoing expense at the renewal (RE), manual verification is not required unless the reported amount has changed or is questionable. A detailed journal entry is required.

K. Guardian/Conservator Fees

Reasonable court-approved guardian/conservator fees must be deducted from the unearned income of an ABD MI person when all the following conditions are met:

- The fees are paid to a court appointed guardian/conservator of an individual who has been declared unable to manage their own financial resources.
- The court appointed guardian/conservator is required by the entity paying the income as a condition of rendering payments to incompetent persons.
- The court appointed guardian/conservator provides a signed statement from the entity making such payments verifying the requirement above.

If the above requirements are not met, the deduction is not allowed. Payments made by SSA or other entities to an incompetent customer or their representative do not meet the conditions above. This deduction does not apply to long-term care (LTC) cases. Refer to MPG 04.07.03 for guidance regarding verification of income deductions.

L. Court Ordered Spousal or Child Support Paid

Court-ordered spousal or child support paid pursuant to an agreement with the district attorney must be deducted from the income of an MFBU which includes an ABD MN individual when it is actually paid by someone in the MFBU. The amount deducted must be the lesser of the amount actually paid or specified in the court order or agreement with the district attorney.

M. LTC

For MFBUs that include an LTC customer, allowable deductions mentioned above are deducted from the income and then added back to the total countable income except for the following:

- Income of an MN or MI person used to determine PA eligibility of another family member.
- Health insurance premiums.

N. Medicare Advantage (MA) Flex Card

The MA flex card is a supplemental benefit offered by some participating plans. The cards are provided directly from Medicare providers to customers who are enrolled in specific plans. Flex cards are prepaid debit cards that may be used to cover eligible health-related expenses which may include but are not limited to the following:

- Dental, vision, and hearing services.
- Prescriptions and over the counter medications.
- Copayments and Deductibles.
- Medical equipment.
- Healthy food and wellness-related purposes (depending on the MA plan).

The MA flex card is considered a supplemental benefit and is not treated as income or property for the purpose of Non-MAGI evaluations.

Program Impacts:

None.

References:

ACWDL 91-89, 10-07, 14-17, 14-42, 15-02, 25-17, 25-19, 25-24.
Title 22 50517, 50547, 50549.1 - 50551.6, 50555.2 50558, 50559, 50561, 50563.
MEPM 4M, 50547, 5F, 10E, 10L, 10K, 10R1-R2

Sunset Date:

This policy will be reviewed for continuance by June 30, 2029.

Approval for Release:



Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services

Deductions for Medi-Cal Family Budget Units (MFBUs) Without an Aged, Blind, or Disabled (ABD) Medically Needy (MN) Person	Number	Page
	10.06.02	1 of 4

Revision Date:
July 1, 2026

Background:
MFBUs without an ABD MN individual are allowed special income deductions when determining Non-Modified Adjusted Gross Income (MAGI) eligibility. Deductions detailed below are for MN, Medically Indigent (MI), or ineligible members of an MFBU.

Purpose:
The purpose of this section is to provide updated guidance on allowable income deductions for certain Non-MAGI MFBUs. This section is being updated to include guidance on the treatment of the Medicare Advantage (MA) flex card and updated student earned income exclusions amounts.

Policy:
Deductions must be verified at initial application, renewal, and during a change in circumstances (CIC).

Procedure:
Deductions are allowed in the order in which they appear in this section. Income deductions will be apportioned over time following the same procedures used for apportioning income. For additional guidance, refer to Medi-Cal Program Guide (MPG) 10.04.03 Apportioned Income.

A. Educational Expenses
Allowable educational expenses must be deducted from educational income or loans. To determine the monthly deduction, allocate the expense over the period that it is intended for. Reimbursed expenses such as Employment Services (ES) Childcare or Training related expenses may not be used as deductions.

Income for educational purposes from which allowable expenses can be deducted from includes but is not limited to:
- Nonexempt student loans, grants, or fellowships which do not require repayment.
- Social Security Administration (SSA) and Veteran's Administration (VA) payments to a child attending school which are based on a deceased or disables parent's entitlement.
- Veteran's Educational Assistance Program (VEAP) payments.

Allowable educational expenses include:
- Tuition.
- Books.
- Fees.
- Equipment and supplies.
- Special clothing needs.
- Childcare services.

Note: The cost of transportation to and from school is based on the most economic and feasible mode. If it is determined that a personal vehicle meets the criteria, all transportation costs will be prorated based on the percentage of miles driven to and from school and the total miles driven each month.

Allowable expenses will be deducted in the following order:
- Deduct from loans or grants as detailed in MPG 10.03.03.
- Deduct any remaining educational expenses from other loans for educational purposes that are considered property as detailed in MPG Article 9.
- Deduct any remaining allowable educational expenses from other income received for educational purposes.

B. Work Expense

$90 is disregarded for work-related expenses from the nonexempt gross earned income of each MN and MI person.

C. Dependent Care

Dependent care can be deducted from the remaining nonexempt earned income when:
- The customer has a reasonable and necessary cost of obtaining childcare for a child or incapacitated person in the MFBU; and
- The worker determines that adequate dependent care cannot be provided by another member of the MFBU; or
- The dependent care deduction is allowed to a member of the MFBU, other than a spouse or parent, if the MFBU member terminated employment specifically to provide the necessary care.

Maximum Monthly Amount	Person for Whom Dependent Care Was Paid
$200	Child under two years old
$175	Child two years of age or older
$175	Incapacitated person

Note: If the actual amount paid is less than the maximum allowable deduction detailed above, the actual amount paid will be allowed.

When a child is attending private school, only the portion of the payment which is for childcare before and after school is allowable. Payment for a live-in housekeeper/care provider may be allowed if the above-mentioned criteria are met and verification provided identifies the specific amount paid for the care of each dependent for the time the customer worked. A separate statement must be provided identifying the tasks performed and the amount paid for services other than dependent care. The amount allowed for dependent care must not exceed the maximum established above.

D. Court Ordered Spousal or Child Support Paid

Court ordered spousal or child support paid pursuant to an agreement with the district attorney, must be deducted from the income of an ABD customer when it is actually paid by the MN or MI customer. This includes the actual amount of arrearage payments if the arrears payment has not been allowed as a deduction in a prior month.

E. Child/Spousal Support Received

Deduct $50 per month from the spousal support received by the MN/MI MFBU member, whether it is provided voluntarily or by court order, when received in the current month.

Deductions for child support received are based on the type of payment received. The amount deducted is applied to the entire case and not per child.

Payment Type	Deduction Amount
Current	Deduct $50 per month from the child support received by the MN/MI MFBU member when received in the current month.
Delayed (paid timely but received in a subsequent month)	Deduct $50 for each month from child support received by the MN/MI MFBU member for past months if both of the following conditions apply: • The payments for past months are received by the family members in the current month. • The payments were made by the Absent Parent (AP) in the month the payment was due.
Arrearage	There are no deductions allowed on arrearage payments.

F. Income Used to Determine Public Assistance (PA) Eligibility of Another Family Member

The following deduction must be subtracted from any nonexempt income that remains after applying all preceding exemptions and deductions:

- The portion of income of an MN or MI person or person responsible for the MFBU, which is counted in determining the eligibility of a spouse, parent, or child as a PA or other PA recipient must be deducted.
- Income of a stepparent and the value of the income in-kind provided by the stepparent which is counted in determining the eligibility of a spouse, parent, or child as a PA or other PA recipient must be deducted.

G. Health Insurance Premiums

Health insurance premiums paid by and purchased for any family member must be deducted. If the premium is paid less often than monthly, it must be averaged on a monthly basis. Allowable deductions are limited to the premiums paid for the health insurance fees. Enrollment membership fees that provide comprehensive benefits unrelated to health insurance or include other benefits beyond health care coverage are not allowable deductions.

Deductions must be verified at initial application. If the customer reports the ongoing expense at the renewal (RE), manual verification is not required unless the reported amount has changed or is questionable. A detailed journal must be entered with an explanation for the request

H. LTC

For MFBUs that include an LTC customer, allowable deductions mentioned above are deducted from the income and then are added back to the total countable income except for the following deductions:

- Income of an MN or MI person used to determine PA eligibility of another family member.

- Health insurance premiums.

I. MA Flex Card

The MA flex card is a supplemental benefit offered by some participating plans. The cards are provided directly from providers to Medicare customers who are enrolled in specific plans. Flex cards are prepaid debit cards that may be used to cover eligible health-related expenses which may include but are not limited to the following:

- Dental, vision, and hearing services.
- Prescriptions and over the counter medications.
- Copayments and deductibles.
- Medical equipment.
- Healthy food and wellness-related purposes (depending on the MA plan).

The MA flex card is not treated as income or property for the purpose of Non-MAGI evaluations.

Program Impacts:

None.

References:

ACWDL 10-07, 25-19.
Title 22, Sections 50517, 50547, 50553, 50553.1, 50553.2, 50553.3, 50553.5, 50554, 50554.5, 50555, 50555.1, 50555.2, 50558, 50559, 50561, 50563.
MEPM 4M, 50547, 10K, 10L.

Sunset Date:

This policy will be reviewed for continuance by June 30, 2029.

Approval for Release:



Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services

Board and Care Deductions	Number	Page
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Revision Date:
July 1, 2026

Background:
Following the Pettit v. Bonta court ruling, customers in licensed Board and Care (B&C), Residential Care Facilities for the Elderly (RCFE), and Assisted Living (AL) must be allowed the ability to apply incurred expenses for personal care services to their share of cost (SOC).

Purpose:
The purpose of the section is to provide updated guidance on the personal care requirements for licensed care facilities. This section has been reformatted and revised for sunset review.

Policy:
Customers who are in a licensed B&C facility are allowed the deduction, including those who are receiving AL services. A standard $315 personal care services income deduction is to be allowed in lieu of the excess maintenance need deduction, unless the excess maintenance need deduction allows for a lower SOC.

The income of a Medically Needy (MN) person residing in a licensed facility is considered unavailable when the portion of that monthly income is both:
- Paid to the facility for residential care and support, and
- In excess of the maintenance need level.

Personal Care Requirement
Facilities provide a variety of supportive services such as meal preparation, laundry, and cleaning. These alone do not qualify additional deductions. To be eligible for the B&C deduction, the customer must receive personal care services which are non-medical services provided to the customer to assist with activities of daily living. Examples of personal care services include but are not limited to assistance with hygiene, dressing, eating, and mobility.

Acceptable verification of personal care services includes but is not limited to:
- Individualized care plan.
- Physician's statement.
- Facility admission agreement.
- Billing statement.

Note: A prescription from the medical provider is not required.

Procedures:
Refer to Desk Aid 133 - Examples for Board and Care (B&C) Deduction for scenarios a on evaluating customers for B&C expenses.

Program Impacts:
None.
References:

ACWDL 99-31, 00-56.
MEDIL I26-14.
MEMP 50515, 10Q.

Sunset Date:
This policy will be reviewed for continuance by June 30, 2029.

Approval for Release:



Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services